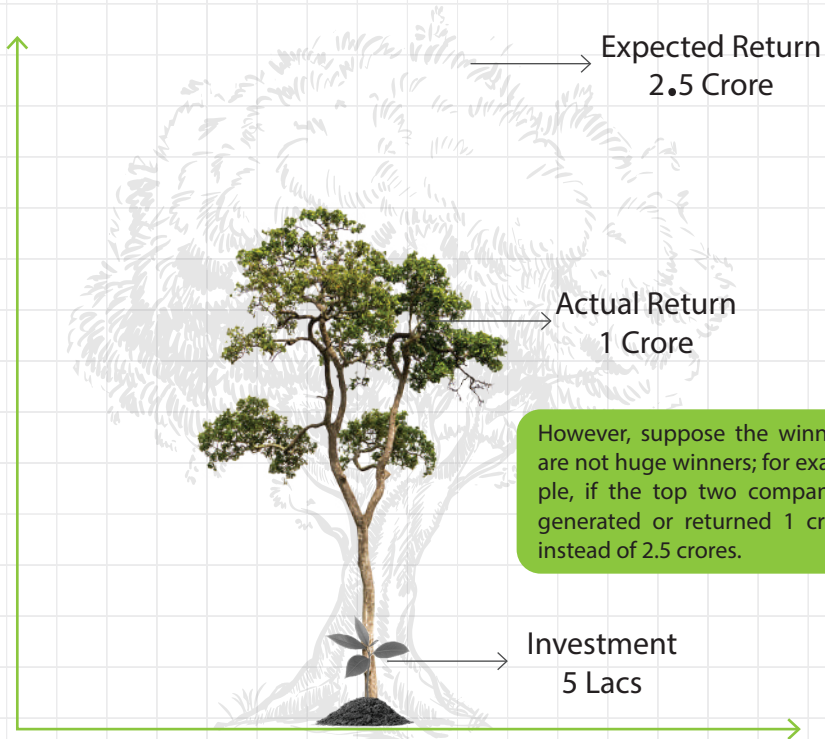


Let's say the top 2 investments return 50 X in 5 to 7 years. So, two investments will return Rs 2.5 crores each for Rs 5 lacs invested. Let's say all other companies combined return another 1 crore rupees. So the investor's portfolio capital surged to Rs 6 crores in 6 to 7 years. If in 6 to 7 years, their portfolio does not generate a good enough return, then this entire risk is not worth their time and effort. Thus the investors are looking to find these top 2 companies. They do not know which of their investments can be this and if you can get them that confidence, that is when they invest.



However, suppose the winners are not huge winners; for example, if the top two companies generated or returned 1 crore instead of 2.5 crores.

In this case, even though it is at 20X return, it is still not enough. The total portfolio only be Rs 3 crores, which is 200% return in 7 years. This is a very below average return, given the amount of sk they have taken.

If your business gives them that confidence, they will typically invest.